

Parts of the Contract

Parties to the Contract and Legal Description of the Property

Print out and refer to the sample purchase agreement we've provided in your resources. Keep in mind that the sales contract you use may differ, depending on custom in your area. We'll begin at the beginning. See the section pictured here.

TRAVERSE AREA ASSOCIATION OF REALTORS®
MULTIPLE LISTING SERVICE
PURCHASE AGREEMENT
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OFFICE OF: _____
(Selling Broker) Phone _____ Date: _____, 20____ at _____ (a.m. / p.m.)

1. PURCHASER: The undersigned Purchaser(s) _____
(Purchaser's Name) agrees to purchase through _____ (Listing Broker)

2. PROPERTY: Real Property situated in the _____ of _____
County of _____ and State of Michigan. MLS # _____
Tax Number: _____ Legal Description: _____
The Property is also identified by street number as _____
The Property is owned by: _____

This section of the sales contract identifies the parties to the contract and the property. Some sales contracts will also include the date in this section. Anywhere you see a blank generally needs some information filled in. If it doesn't apply, simply write "N/A" in that space. This is best practice, to prevent anyone adding text in that area later, after the parties have signed.

Price and Payment

This beginning of the sales contract also defines the purchase price (a very key item!), and how the buyer intends to pay for the property. If the buyer intends to finance a portion of the sales price, there will typically be another section in the contract or an attached form that includes terms of the loan.

3. **PRICE:** The purchase price shall be \$ _____
4. **TERMS:** The sale of the Property shall be consummated by delivery of a Warranty Deed or owner financing conveying marketable title upon compliance with sub paragraph _____ below:
- ☐ A. CASH SALE: Payment of full purchase price.
 - ☐ B. CASH TO NEW MORTGAGE: Payment of the full purchase price, contingent upon Purchaser's ability to obtain at Purchaser's own expense a _____ mortgage loan in the amount of \$ _____. Purchaser agrees to make application for a mortgage within three (3) business days of the Effective Date of this Agreement, and to furnish Seller evidence of the conditional loan commitment acceptable to Purchaser within five (5) business days of the Effective Date of this Agreement.
 - ☐ C. OWNER FINANCING: See Addendum
The purchase money shall be paid in **cash** or by **cashiers check** to appropriate title company or escrow agent.

Inclusions and Exclusions

Refer to the sample purchase agreement. The sales contract defines the items that the seller will include with the purchase of the home or will leave behind that would otherwise be taken, such as a free-standing refrigerator, and excludes the items that the seller will remove that ordinarily would be left, such as a built-in microwave. This section also covers any prorated expenses or charges that are paid by the seller, and any portion that would be left to the buyer.

5. **OIL, GAS, and MINERAL RIGHTS:** if any, are included ☐ YES ☐ NO, unless previously severed by former owner.
6. **FIXTURES & IMPROVEMENTS:** Sale to include all buildings, improvements, carpeting, window shades, drapery or curtain hardware, Venetian shades, screens, storm sash and doors, shrubbery, built-in kitchen appliances, TV antenna, plumbing and lighting fixtures, fences, mailbox and garage door openers (including transmitters), heating and air conditioning equipment, if any, now on the property. Additions (mark appropriate box(es)): Refrigerator ☐, Oven/Range ☐, Draperies ☐, Curtains ☐, Water Softener ☐, Dishwasher ☐, Microwave ☐, Washer ☐, Dryer ☐.
7. **PRORATIONS:** Rents, insurance, homeowner's association fees, condominium owner's association fees, road maintenance fees, fuel and sewer and water bills shall be adjusted as of the date of closing. "Current Taxes" (defined as those taxes due in the calendar year the closing takes place) shall be prorated as of the date of closing in the following manner: county taxes, including township and school, shall be prorated on a calendar year basis, as if paid in arrears, so that Seller will be charged with the portion thereof from the prior January 1 to the date of closing, and Purchaser with the balance of the year. City taxes and village taxes shall be prorated on a due date basis as if paid in advance so that Seller will be charged with the portion thereof from the prior July 1 to the date of closing, and Purchaser with the portion from the date of closing to the next June 30.
8. **ASSESSMENTS:** Unless otherwise specified herein, all special assessments and/or sewer, riser and benefit charges, and all taxes other than "Current Taxes" which are a lien at the date of this agreement shall be paid by the Seller.

Let's assume that your buyers want to be sure that the window coverings are all included in the sale. The automatic garage door has two openers, so they want both of them. And they took a shine to a pine shelf in the entryway that they'd really like to have. Oh, but they definitely don't want to get stuck with that awful hot tub or the rusty play structure in the backyard! They want the sellers to take those when they go, and good riddance. They also want the sellers to assure them that all of the mechanicals are in good working order. Can the sales contract cover all that? Definitely. If it can't, an additional addendum of other inclusions or exclusions may be added to the contract to cover it all.

Property Condition, Disclosure Statement, and Contingencies

Next, we'll look at the areas for "Property Damage and Disclosure Statement." This is where the seller notifies the buyer whether disclosures are being provided.

Section 10 of your sample contract outlines the contingency that, should the property be damaged before closing, the contract would be void. Other contracts may list additional contingencies that are required for fulfillment of the contract, such as buyer financing and a satisfactory inspection.

Section 11 in our sample contract discusses **condition of the property**. The seller agrees to turn over the property to the buyer in substantially the same condition as it was at the time of offer. In this section, the buyer is put on notice that the condition the property is in at the time of the buyer's offer (subject to any required repairs the parties agree to) is the condition in which the buyer will receive the property. The exception would be if a material defect occurred that would **substantially impact** the value of the property.

- 10. PROPERTY DAMAGE:** If the building(s), fixtures and equipment on the Property are extensively damaged or are destroyed by fire or otherwise prior to closing, the Purchaser may terminate this Agreement by written notice to Seller with a copy to Listing Broker and Selling Broker. Upon receipt of this notice, Selling Broker shall return the deposit to Purchaser, this Agreement shall be void, and the Parties shall have no further duty to one another. If Purchaser does not send notice of termination, the closing shall occur and all proceeds of insurance of claims under insurance policies, if any, shall accrue to the benefit of Purchaser.
- 11. DISCLOSURE STATEMENT:** Unless otherwise disclosed in the "Real Estate Transfer Disclosure Statement", Seller warrants that there are no lawsuits, health department, condemnation, zoning or other proceedings pending nor are there any unpaid bills resulting from improvements made to the Property within the last ninety (90) days which may give rise to the filing of a mechanic's lien. Seller warrants that Seller is not aware of any functional defects in the Property other than as set forth in the Disclosure Statement. If Seller has not previously provided the Purchaser with a completed copy of the Disclosure Statement, Seller shall do so upon acceptance of this offer. Purchaser shall have a period of 72 hours from the receipt of the Disclosure Statement to determine the existence of any material defects which may impact upon their original offer. If Purchaser claims a material defect is present, the parties shall negotiate in good faith relative to the defect issue. If no resolution has been reached within _____ calendar days, then either party may terminate this Agreement. For the purpose of this Agreement, the term "material defect" means those defects which have a **SUBSTANTIAL IMPACT** upon the value of the Property. Purchaser and Seller agree that no REALTOR® involved in this transaction has made any representation relative to matters which are the subject of the Disclosure Statement and neither party is placing any reliance upon any representation relative to these matters made by any REALTOR®.

Some contracts have additional contingencies listed, and options for buyers to waive their right for certain tests or inspections.

Deposit Money and Compliance

Consideration is one of the elements of a valid contract. Consideration means something of value. What is the consideration in our sample sales contract? Is it the purchase price? No. It's the promise of payment and the earnest money deposit the buyers will put down. And from the sellers, if they accept the offer, it's the promise to convey the property to the buyer. Once the transaction closes and the loan funds, the buyer's consideration is the payment to the seller for the property, and the sellers' consideration is the conveyance to the buyer of a marketable title.

12. **DEPOSIT:** Purchaser Tenders: (\$ _____) DOLLARS in the form of _____ which shall be retained by the Selling Broker as a Deposit to apply to the purchase price of the Property. The Deposit shall be returned and this offer is revoked if not accepted by the Seller within _____ days from the date of this offer. A standard ALTA owner's policy of title insurance in the amount of the purchase price shall be furnished to Purchaser at Seller's expense and a commitment to issue a policy insuring marketable title vested in Purchaser, including a real estate tax status report, shall be made available for Purchaser's inspection prior to closing. If the owner's title insurance commitment shall disclose title to be unmarketable, then Seller shall remedy the title defects to render title marketable. If Seller does not cure the title defects within 30 days to Purchaser's reasonable satisfaction, Purchaser may waive the defect or may terminate this Agreement by written notice, in which case Selling Broker shall return Deposit in full immediately. This sale is to be closed on or before _____.

13. **COMPLIANCE:** The parties will be held to strict compliance with the time limitations contained in this Agreement. If Purchaser refuses to perform its obligations under this Agreement, the Deposit shall be forfeited and may be applied by the Seller to payment of his damages, and Seller may treat the forfeited Deposit as liquidated damages for such non-performance, breach or default. If Seller's actual damages exceed the Deposit, Seller may pursue such other legal and equitable remedies as Seller may have against the Purchaser. If Seller defaults, the Deposit shall be returned to the Purchaser and Purchaser may pursue such legal or equitable remedies as Purchaser may have against the Seller.

14. **INSPECTION:** Purchaser shall have the right, within _____ calendar days after the Effective Date, at Purchaser's expense, to engage and complete, qualified individuals to inspect and investigate the Property. The inspections that Purchaser may conduct include, but are not limited to: health department evaluations, structural integrity, plumbing, heating, electrical, appliances, roof, soils, foundation, mechanical systems, basement integrity, pest inspection, environmental hazards (such as asbestos, formaldehyde, radon gas, toxic mold, lead-based paint or other substances/products and water quality), surveys, zoning determinations, ordinance compliance checks, determinations of oil and gas rights, or such other studies of the property as Purchaser deems advisable. Purchaser shall keep the Property free and clear of any liens, and shall indemnify and hold Seller harmless from any liability, claim, demand, damage or cost, and shall repair all damages to the Property arising from the inspections, tests and studies. Where such reports disclose a potential material defect that has a **SUBSTANTIAL IMPACT** upon the value of the Property, the parties agree to negotiate in good faith to resolve the matter. If the parties have not been able to resolve the matter within 7 days, then either of the parties may terminate this Agreement by written notice to the other. Seller shall make the Property available for all inspections.

This condition provides the Purchaser with an opportunity to obtain independent and unbiased information regarding the condition of the Property. If the Purchaser fails to have these inspections, studies or tests performed, or fail to raise matters pursuant to this provision, the Purchaser shall be deemed to have accepted the property subject to any material or adverse condition that such inspection, study or test would have disclosed. PURCHASER FURTHER ACKNOWLEDGES THAT IN ENTERING INTO THIS AGREEMENT, PURCHASER IS NOT RELYING UPON ANY REPRESENTATIONS MADE BY ANY REALTOR®.

Purchaser's Initials _____

The section above also covers the terms for compliance with the contract, as well as the seller's right to inspect the property within a defined period of time in order to ascertain any material defects that may need to be fixed or that have a substantial impact.

Home Protection and Disclosure

The next section in our sample contract covers the lead paint disclosure that must be provided to purchasers, as well as the requirement for the seller to provide smoke detectors at the seller's expense if the home doesn't already have them installed.

Section 16 of the sample contract also discloses to the buyer the benefit of purchasing a home protection plan, and also allows the buyer to indicate whether or not a home protection plan is desired.

15. **LEAD BASED PAINT DISCLOSURE:** If subject home was built prior to 1978, Purchaser acknowledges that prior to signing this Purchase and Sales Agreement, Purchaser has received and reviewed a copy of the Lead-Based Paint Disclosure Form.

16. **HOME PROTECTION PLAN:** Purchaser and Seller have been informed that Home Protection Plans are available. Such plans may provide additional protection and benefit to a Purchaser. The parties acknowledge that a REALTOR® may receive compensation from the companies offering these plans. Purchaser ☐ does ☐ does not wish to purchase a Home Protection Plan.

17. **SMOKE DETECTOR(S):** Smoke detector(s) shall be installed as required by law, at Seller's expense.

Attorney's Fees, Agency and Addenda

The next section of the sample contract describes how attorney's fees would be paid in any dispute. It also identifies MLS requirements and a confirmation of the agency relationship, as well as any addenda that the parties agree are part of the contract.

18. ATTORNEY'S FEES: In any action or proceeding arising out of this agreement, the prevailing party, including any REALTOR® so involved, shall be entitled to reasonable attorney's fees and costs, to be paid by the non-prevailing party. 19. MULTIPLE LISTING SERVICE: If Broker is a participant of a Board Multiple Listing Service ("MLS"); Broker is authorized to report the sale, its price and terms for the use of authorized Board Members, MLS participants and subscribers. Deletion of this paragraph by Seller shall not constitute a counter-offer. 20. AGENCY CONFIRMATION: Purchaser and Seller each acknowledge receipt of an Agency Disclosure Form. The Selling Broker/ Salesperson is acting as (check one) ☐ Agent/Subagent of the Seller ☐ Buyer's Agent ☐ Dual Agent ☐ Designated Agent in an In-House Transaction ☐ Other _____ 21. ATTACHMENTS: These attachments are incorporated by reference: ☐ Addendum(s) ☐ Seller's Disclosure Statement ☐ Lead-Based Paint Seller's Disclosure Form ☐ Unplatted Land Division Addendum ☐ Other _____
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Possession, Closing Effective Date, and Additional Conditions

We've taken the next section out of order to present it here. This section identifies the date the buyer will possess the property after closing and any additional expenses the seller may incur before such date. In addition, the next section identifies the terms for a closing and effective date, as well as any additional conditions that the buyer may stipulate.

9. POSSESSION: Seller shall deliver and Purchaser shall accept possession of the Property subject to the rights of any tenants at or _____ days after closing. From the date of closing to the date of vacating the Property as agreed, Seller shall pay the sum of \$_____ per day as an occupancy charge, and Seller shall be liable for Seller's pro rata share of utilities. The Purchaser shall retain from the amount due Seller at closing the sum of \$_____ as a deposit against these charges, paying to the Purchaser the amount due and returning to the Seller the balance as determined by the date Property is vacated and keys surrendered to Purchaser.
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22. CLOSING: The closing may be conducted by a title company or other escrow agent. The parties agree to equally divide the closing fee. 23. ADDITIONAL CONDITIONS: _____ _____ _____ _____ 24. EFFECTIVE DATE: The term "Effective Date" shall mean the date and time at which both Purchaser and Seller have signed this Agreement and agreed upon its terms.

Acknowledgement of Receipt and the Seller's Acceptance

Both of the following sections deal with receipt and acceptance of the contract by the buyer and the seller. The parties sign and date the contract and the seller accepts the offer here.

26. ACKNOWLEDGEMENT: Purchaser acknowledges receipt of a copy of this Agreement. This document and attachments reflects the parties' entire agreement. Any agreement, statement, or representation not included is not legally binding. References to gender and number shall be adjusted as required by context. This Agreement binds the heirs, personal representatives, executors, assigns, and the successors of the parties.

This is a legal document. It is recommended to the Purchaser that an attorney be retained to pass upon the marketability of the title to the property involved and to confirm that the terms of this Agreement are met.

Purchaser(s):

DEPOSIT ACKNOWLEDGED BY:

Agent / REALTOR®

Purchaser(s) Address:

Purchaser(s) Contact Numbers:

27. SELLER'S ACCEPTANCE: Seller accepts Purchaser's offer dated this _____ day of _____, 20____ at _____ a.m. / p.m.

Seller:

Seller(s) Address:

***NOTE:** Please sign as you wish your name to appear on the final papers.

Seller's Contact Numbers:

Counter-offer and Acceptance

Of course, the seller doesn't have to accept the buyer's initial offer, and often doesn't. This next section of our sample contract allows the seller to modify the contract with additional conditions to counter the buyer's offer. Should the seller's modifications be extensive, additional paperwork by way of an amendment would be attached. When signed by both parties, this amendment becomes a legally binding part of the sales contract.

28. COUNTEROFFER: This is a counteroffer to Purchaser's offer dated this _____ day of _____, 20____.
Seller accepts all the terms and conditions in the above designed Agreement with the following changes or amendments:

The Seller reserves the right to continue to offer the Property for sale and may accept another offer at any time prior to personal receipt by Seller or _____, Seller's authorized agent, of a copy of this counteroffer duly accepted and signed by Purchaser. Unless this counteroffer is accepted in this manner, on or before _____, 20____ at _____ a.m. / p.m., it shall be deemed revoked and the Deposit shall be returned to Purchaser. Seller acknowledges receipt of a copy of this counteroffer. Dated this _____ day of _____, 20____ at _____ a.m. / p.m.

Seller: _____ Seller: _____

29. ACCEPTANCE OF COUNTEROFFER: If Seller's acceptance constitutes a counteroffer, Purchaser hereby accepts the terms of that counteroffer. Dated this _____ day of _____, 20____ at _____ a.m. / p.m.

Purchaser: _____ Purchaser: _____

REALTOR® RECOMMENDS THAT BOTH BUYER AND SELLER RETAIN LEGAL COUNSEL